Table 29.1 Identification Guidelines

Characteristic	**Discussion**
Appearance	Look for two valleys that appear after a downtrend. Each valley should be wide and rounded-looking. After that, price rises.
Price trend	Price trends downward to the pattern and should not drift below the left bottom.
Rise between bottoms	Most any height will do, but taller is better. The traditional measure is at least 10% from the lowest valley to the highest peak between the two bottoms.
Bottom low price	Bottom-to-bottom price variation is small. The median is 1%.
Bottom separation	Bottoms should be at least a few weeks apart, but allow exceptions.
Price rise after right bottom	Price must close above the confirmation point without first falling below the right bottom low.
Volume	Usually higher on the left bottom than the right.
Breakout direction, confirmation	The breakout is upward by definition. Price has to close above the highest peak between the two bottoms. When that happens, it confirms the pattern as a valid double bottom.